SCHEDULE NJ

NEW JOB INCENTIVE RATE

APPLICABILITY

Applicable under contract (Form 142-959), to Qualified Customers who request service on this schedule no later than December 31, 1999. Service under this schedule shall be limited to 50 customers, or a total aggregated load of 100 MW. Service under this schedule will be provided in the order in which requests are received.

Pursuant to D.02-09-034, this schedule is cancelled effective January 1, 2003.

TERRITORY

Applicable within Enterprise Zones designated by the State of California under the Enterprise Zone Act, Recycling Market Development Zones designated by the California Integrated Waste Management Board under the Public Resource Code relating to solid waste, or federal military bases that are scheduled to be closed.

RATES

Description	Transm	Distr	PPP	ND	FTA	Restruc	CTC	RMR	UDC Total
Basic Service Fees ($/month)									
Secondary		192.69 I							**192.69** I
Primary		192.69 I							**192.69** I
Primary Substation		13,760.43 I							**13,760.43** I
Transmission		211.96 I							**211.96** I
> 12 MW									
Primary Substation		21,666.59 I							**21,666.59** I
Distance Adj Fee OH		1.21 I							**1.21** I
Distance Adj Fee UG		3.42 I							**3.42** I
Demand Charges ($/kW)									
Non-Coincident									
Secondary	0.35	5.88 I					0.41	0.26 I	**6.90** I
Primary	0.33	5.79 I					0.40	0.25 I	**6.77** I
Primary Substation	0.33						0.03	0.24 I	**0.60** I
Transmission	0.32						0.03	0.24 I	**0.59** I
MaximumOn-Peak Summer									
Secondary	3.15	3.86 I					1.93	2.44 I	**11.38** I
Primary	3.02	3.73 I					1.88	2.34 I	**10.97** I
Primary Substation	2.96						1.59	2.30 I	**6.85** I
Transmission	2.94						1.58	2.28 I	**6.80** I
MaximumOn-Peak Winter									
Secondary	0.77	3.29 I					0.41	0.60 I	**5.07** I
Primary	0.74	3.28 I					0.40	0.58 I	**5.00** I
Primary Substation	0.72						0.34	0.56 I	**1.62** I
Transmission	0.72						0.34	0.56 I	**1.62** I

(Continued)

SCHEDULE NJ

NEW JOB INCENTIVE RATE

RATES (Continued)

Description	Transm	Distr	PPP	ND	FTA	Restruc	CTC	RMR	UDC Total
Power Factor ($/kvar)									
Secondary		0.25 I							**0.25** I
Primary		0.25 I							**0.25** I
Primary Substation		0.25 I							**0.25** I
Transmission									
Energy Charges (kWh)									
On-Peak Summer									
Secondary	.00033 I	.00085 I	.00302	.00065		.00066 R	.00442	.00042 I	**.01035** I
Primary	.00030 I	.00082 I	.00302	.00065		.00066 R	.00431	.00040 I	**.01016** I
Primary Substation	.00029 I		.00302	.00065		.00066 R	.00417	.00039 I	**.00918** I
Transmission	.00029 I		.00302	.00065		.00066 R	.00414	.00039 I	**.00915** I
Semi-Peak Summer									
Secondary	.00032 I	.00085 I	.00302	.00065		.00066 R	.00380	.00042 I	**.00972** I
Primary	.00030 I	.00082 I	.00302	.00065		.00066 R	.00371	.00040 I	**.00956** I
Primary Substation	.00029 I		.00302	.00065		.00066 R	.00361	.00039 I	**.00862** I
Transmission	.00029 I		.00302	.00065		.00066 R	.00358	.00039 I	**.00859** I
Off-Peak Summer									
Secondary	.00032 I	.00050 I	.00302	.00065		.00066 R	.00299	.00041 I	**.00855** I
Primary	.00030 I	.00049 I	.00302	.00065		.00066 R	.00294	.00040 I	**.00846** I
Primary Substation	.00029 I		.00302	.00065		.00066 R	.00289	.00039 I	**.00790** I
Transmission	.00029 I		.00302	.00065		.00066 R	.00287	.00039 I	**.00788** I
On-Peak Winter									
Secondary	.00033 I	.00069 I	.00302	.00065		.00066 R	.00509	.00042 I	**.01086** I
Primary	.00030 I	.00067 I	.00302	.00065		.00066 R	.00496	.00040 I	**.01066** I
Primary Substation	.00029 I		.00302	.00065		.00066 R	.00480	.00039 I	**.00981** I
Transmission	.00029 I		.00302	.00065		.00066 R	.00477	.00039 I	**.00978** I
Semi-Peak Winter									
Secondary	.00032 I	.00069 I	.00302	.00065		.00066 R	.00382	.00042 I	**.00958** I
Primary	.00030 I	.00067 I	.00302	.00065		.00066 R	.00373	.00040 I	**.00943** I
Primary Substation	.00029 I		.00302	.00065		.00066 R	.00363	.00039 I	**.00864** I
Transmission	.00029 I		.00302	.00065		.00066 R	.00360	.00039 I	**.00861** I
Off-Peak Winter									
Secondary	.00032 I	.00050 I	.00302	.00065		.00066 R	.00302	.00041 I	**.00858** I
Primary	.00030 I	.00050 I	.00302	.00065		.00066 R	.00297	.00040 I	**.00850** I
Primary Substation	.00029 I		.00302	.00065		.00066 R	.00292	.00039 I	**.00793** I
Transmission	.00029 I		.00302	.00065		.00066 R	.00290	.00039 I	**.00791** I

Notes: Transmission Energy charges include the Transmission Revenue Balancing Account Adjustment (TRBAA) of ($.00057) per kWh, the Transmission Access Charge Balancing Account Adjustment (TACBAA) of $.00028 per kWh and a Supplemental Surcharge (SS) of $.00007 per kWh. Restructuring Implementation Rate is comprised of rates for Internally Managed Costs (IMC) and Externally Managed Costs (EMC).

(Continued)

SCHEDULE NJ

NEW JOB INCENTIVE RATE

RATES (Continued)

Rate Components

The Utility Distribution Company Total Rates (UDC Total) shown above are comprised of the following components (if applicable): (1) Transmission (Trans) Charges, (2) Distribution (Distr) Charges, (3) Public Purpose Program (PPP) Charges, (4) Nuclear Decommissioning (ND) Charge, (5) Trust Transfer Amount (TTA), sometimes referred to as Fixed Transition Amount (FTA), (6) Restructuring Implementation Rate (Restruc) which is the sum of the rates for Internally Managed Costs and Externally Managed Costs, (7) Ongoing Competition Transition Charges (CTC), and (8) Reliability Must Run Generation Rates (RMR).

Utility Distribution Company (UDC) Total Rate shown above excludes any applicable commodity charges associated with Schedule EECC (Electric Energy Commodity Cost) and Schedule DWR-BC (Department of Water Resources Bond Charge).

Fixed Transition Amount Adjustment

For residential and small commercial customers as defined in Rule 1 – Definitions, and as described in Public Utilities Code Section 331(h), the rates shown above will be adjusted in accordance with the rates set forth in Schedule FTA.

Franchise Fee Differential

A Franchise Fee Differential of 5.78% will be applied to the monthly billings calculated under this schedule for all customers within the corporate limits of the City of San Diego. Such Franchise Fee Differential shall be so indicated and added as a separate item to bills rendered to such customers. T

Large Customer CTC Adjustment

Large Customers, as defined in Rule 1 - Definitions, shall have a Transition Cost Balancing Account (TCBA) bill credit calculated each month that is equal to the CTC rates above, multiplied by the billing determinates as delivered by the Utility to the customer, multiplied by 1.64. Customers that would be billed a CTC for the output of their generator(s) will, for all billing periods commencing after the effective date of this provision, not be billed a CTC for that output. The Utility shall record this amount against the balance in the TCBA. This CTC adjustment is effective for a 24-month period, beginning January 1, 2003.

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